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RE: Initiation of Coverage — Nautilus Biotechnology, Inc. (NASDAQ: NAUT) | OVERWEIGHT | PT: $6.00

Rating	Price Target	Current Price	Upside	52-Wk Range
OVERWEIGHT	$6.00	$2.97	+102.0%	$1.49 – $4.25

EXECUTIVE SUMMARY

We initiate coverage of Nautilus Biotechnology (NAUT) with an **OVERWEIGHT** rating and a **$6.00 price target**, representing 102% upside from the current price of $2.97. Nautilus has built a genuinely novel single-molecule proteomics platform — Voyager — that can simultaneously quantify 10 billion intact protein molecules with 1.5% coefficient of variation, versus 40–80% CV for incumbent mass spectrometry platforms. The technology is not incremental; it represents the same step-change disruption in proteomics that Illumina's sequencing-by-synthesis delivered to genomics beginning in 2007. With the platform unveiled publicly at US HUPO (February 2026), a first paying Early Access Program customer secured (Baylor College of Medicine, March 2026), and commercial launch targeted for late 2026, key technology and execution risks are progressively de-risking. At an enterprise value of ~$220M — roughly 3× FY2025 operating expenses — the market is pricing near-total failure into a platform with a multi-billion dollar long-term addressable opportunity.

COMPANY OVERVIEW

Metric	Value
Market Cap	~$376M (at $2.97)
Enterprise Value	~$220M
Net Cash	$156.1M ($1.23/share)
FY2025 Operating Expenses	$66.8M (R&D: $41.1M · G&A: $25.7M)
FY2025 Net Loss	($59.0M)
2026E Cash Burn (Mgmt)	$65–70M
Cash Runway	Through 2027 (raise required)
Stage	Pre-Revenue / Development Stage
Technology	Voyager™ — Single-Molecule Iterative Mapping Proteomics
First Commercial Launch	Late 2026 (instruments ship Q1 2027)

Founded in 2016 and public since 2021, Nautilus is developing the Voyager platform — an integrated instrument, consumable, and software system for single-molecule protein analysis. The platform's core innovation, Iterative Mapping, exposes billions of individual protein molecules to successive rounds of probe binding, with machine learning translating probe patterns into confident proteoform identifications. The first commercial assay — the Nautilus Tau Proteoforms Assay — quantifies 768+ full-length tau proteoform groups simultaneously, directly applicable to Alzheimer's and neurodegeneration biomarker research.

INVESTMENT THESIS

- **Voyager Platform: Architecturally Differentiated**

  Legacy mass spectrometry requires protein fragmentation to measure peptides — a process that destroys proteoform context. Nautilus' Iterative Mapping keeps proteins intact and interrogates each molecule independently across 50–100+ probe cycles, achieving 1.5% CV versus 40–80% for Orbitrap-based platforms. Crucially, the platform can resolve co-occurring

post-translational modifications on a single protein molecule — an impossible task for any affinity-based or mass-spec platform at scale. This is not a faster mass spec; it is a fundamentally different measurement modality.

- **Razor / Blade Economics Drive Long-Term Value**

  Voyager instruments at ~$1M ASP establish customer relationships; consumables (flow cells, probe libraries, reagents) at estimated $150–300K annual pull-through per instrument generate the high-margin recurring revenue that creates intrinsic value. As the installed base scales to 200+ instruments by 2032E, consumables become the majority of revenue, expanding blended gross margins from ~50% at commercial launch toward 65% — consistent with mature tools companies (Illumina: 68%, 10x Genomics: 65%). Software and data-analysis subscriptions represent an unmodeled upside optionality layer.

- **Valuation Prices Near-Total Failure — Margin of Safety in Cash**

  At $2.97/share, NAUT's EV of ~$220M implies the market assigns minimal option value to a platform that has already attracted paying customers and published reproducibility data. The $156M net cash balance ($1.23/share) represents 42% of the current stock price. Our base case DCF — a 19.4% cost of equity (Rf + 1.8β × ERP + 5% size premium) and an 8x terminal EV/Revenue multiple — yields $4.91/share; probability-weighting the bull, base and bear cases gives $5.89, rounded to a $6.00 price target.

- **Proteomics Is at an Illumina-in-2007 Inflection Point**

  The proteomics tools market is projected to reach $65.8B by 2030 at 12% CAGR. Biopharma's recognition that proteins — not genes — are the proximal drivers of disease is accelerating proteomics' transition from academic curiosity to clinical drug discovery workflow. Nautilus' Tau Proteoforms Assay is strategically positioned in neurodegeneration, where the ability to quantify disease-relevant tau proteoforms (phosphorylated, truncated, aggregated) ahead of symptom onset is a multi-hundred-million-dollar biomarker opportunity with major pharma customers already engaged.

FINANCIAL PROJECTIONS ($M) — BASE CASE

	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue	$0	$0.5	$8.0	$30.0	$70.0	$130.0	$200.0
Growth %	—	—	1,500%	275%	133%	86%	54%
Gross Profit	$0	$0.3	$4.0	$15.6	$38.5	$78.0	$126.0
Gross Margin	—	60%	50%	52%	55%	60%	63%
R&D	$41.1	$50.0	$55.0	$60.0	$65.0	$70.0	$72.0
G&A	$25.7	$28.0	$30.0	$32.0	$34.0	$36.0	$38.0
EBIT	($66.8)	($82.7)	($86.0)	($81.4)	($65.5)	($33.0)	$11.0
Unlevered FCF	($50.7)	($89.7)	($97.5)	($95.8)	($80.5)	($52.0)	($10.8)

Note: FY25A from 10-K filings. FY26E–FY31E are analyst projections read from NAUT_DCF_Model.xlsx (UFCF = NOPAT + D&A – capex – ΔNWC). EBIT losses reflect investment phase; profitability inflects in 2031E.

	FY32E	FY33E	FY34E	FY35E (Terminal)
Revenue	$280.0	$360.0	$430.0	$490.0
Gross Profit	$182.0	$234.0	$279.5	$318.5
Gross Margin	65%	65%	65%	65%
EBIT	$63.0	$113.0	$155.5	$191.5
EBIT Margin	22.5%	31.4%	36.2%	39.1%
Unlevered FCF	$26.2	$63.8	$97.6	$126.6

DCF VALUATION SUMMARY

Component	Base Case	Bull Case	Bear Case
WACC	19.4%	16.4%	19.4%
Terminal EV/Revenue	8.0x	10.0x	6.0x
Terminal Revenue (2035E)	$490M	$700M	$200M
Sum PV of FCFs	($200.2M)	($82.8M)	($347.2M)
PV of Terminal Value	$665.6M	$1,533.1M	$203.8M
Enterprise Value	$465.4M	$1,450.3M	($143.5M)
(+) Net Cash	$156.1M	$156.1M	$156.1M
Equity Value	**$621.5M**	**$1,606.4M**	**$12.6M**
÷ Shares (M)	126.6M	126.6M	126.6M
Value / Share	**$4.91**	**$12.69**	**$0.10**
Scenario Weight	55%	25%	20%

*Probability-weighted value = 0.55 × $4.91 + 0.25 × $12.69 + 0.20 × $0.10 = $5.89 → **$6.00** PT (rounded). Bull scales revenue to $700M by 2035E with a 3pp lower WACC; bear scales it to $200M. A 19.4% cost of equity reflects pre-revenue execution risk, development-stage micro-cap premium, and terminal beta consistent with life science tools peers (Seer Bio, Quantum-Si). Terminal EV/Revenue of 8x is a discount to Illumina's comparable-stage multiple (~12x).*

SENSITIVITY — PRICE TARGET BY WACC & TERMINAL EV/REVENUE MULTIPLE

WACC \ EV/Rev →	5.0x	6.0x	7.0x	8.0x ★	9.0x	10.0x	11.0x	12.0x
13.4%	$5.15	$6.25	$7.35	$8.45	$9.56	$10.66	$11.76	$12.86
15.4%	$4.26	$5.18	$6.11	$7.03	$7.96	$8.88	$9.81	$10.73
17.4%	$3.53	$4.31	$5.09	$5.87	$6.65	$7.42	$8.20	$8.98
19.4% ★	$2.94	$3.59	$4.25	$4.91	$5.57	$6.22	$6.88	$7.54
21.4%	$2.45	$3.01	$3.56	$4.12	$4.68	$5.23	$5.79	$6.35
23.4%	$2.05	$2.52	$3.00	$3.47	$3.94	$4.42	$4.89	$5.36
25.4%	$1.73	$2.13	$2.53	$2.93	$3.34	$3.74	$4.14	$4.54
27.4%	$1.46	$1.80	$2.14	$2.49	$2.83	$3.18	$3.52	$3.86

★ Base case: 19.4% WACC, 8.0x terminal EV/Revenue → $4.91/share (equals the DCF tab). Current price $2.97. Every cell is read from the model's live Sensitivity tab.

KEY RISKS & MITIGANTS

• Commercialization Delay Risk (HIGH)

The platform launch has already slipped once (original 2025 target → late 2026). Further delays to 2027+ would consume additional cash and open competitive windows. At $65-70M annual burn with $156M cash, the company has approximately 2.2 years of runway. Any slip pushes the required 2027 equity raise earlier at potentially deeper dilution. Mitigant: Baylor EAP customer announced March 2026 suggests the platform is performing in real laboratory conditions; commercial launch is a commitment, not an aspiration.

• Capital Raise Dilution (HIGH)

Cumulative cash burn until FCF turns positive exceeds the $156M balance: holding a $30M cash buffer, Nautilus needs ~$300M of new equity. Raised at $2.97, that is ~101M new shares (80% dilution) and would cut base-case value from $4.91 to $4.05/share. The price target is struck on today's share count; the dilution-adjusted value is disclosed on the DCF tab. Mitigant:

successful commercial traction by late 2026 enables a raise at a materially higher price.

- **Competitive Response from Incumbents (MEDIUM)**

  Thermo Fisher Scientific (TMO) commands 30-40% of the proteomics instrument market with Orbitrap and Olink platforms. With effectively unlimited capital, Thermo could acquire a competing platform (Seer Bio is publicly traded at ~$350M market cap) or accelerate internal development. Mitigant: Nautilus' single-molecule, intact-protein approach is architecturally distinct — it is not a faster mass spec and cannot be replicated via incremental improvement to existing platforms.

- **Technology Execution Risk (MEDIUM)**

  Probe library specificity at scale, flow cell stability over 100+ cycles, and ML model performance in complex biological matrices (e.g., plasma) remain unvalidated at commercial scale. EAP lab data may not generalize to diverse customer workflows. Mitigant: iterative engineering is Nautilus' core competency; the EAP phase is specifically designed to identify and resolve these challenges before broad commercial rollout.

RECOMMENDATION

We initiate coverage of Nautilus Biotechnology with an **OVERWEIGHT** rating and a **$6.00 twelve-month price target**. NAUT presents a rare asymmetric opportunity: a genuinely disruptive proteomics platform trading at an EV of ~$220M — effectively pricing in near-failure — at the precise moment of commercial inflection. The $156M net cash balance provides downside support at ~$1.23/share. The base case DCF yields $4.91/share; the probability-weighted target is $6.00 (dilution-adjusted base value $4.05). Key catalysts include additional EAP customer announcements (H1 2026), a commercial launch / pre-order announcement (late 2026), and the first instrument shipments (Q1 2027). We recommend initiating a position at current levels, sized to reflect the binary nature of commercialization outcomes.